

Lou developed a reputation as a voracious reader who ignored Wall Street research reports and pored over annual reports instead. His common-stock selection process was similar to Buffett's. He purchased only high-return businesses that were run by able management and that were available at reasonable prices. Lou had something else that was in common with Buffett: He focused his portfolio on only a few stocks. GEICO's billion-dollar equity portfolio typically owned fewer than 10 stocks.

Between 1980 and 2004, GEICO's portfolio achieved an average annual return of 20.3 percent compared to the market's 13.5 percent. Buffett commented, "Lou has consistently invested in undervalued common stocks that, individually, were unlikely to present him with a permanent loss and that, collectively, were close to risk-free."³⁶

Here again we see Buffett's sense of risk: It has nothing to do with stock price volatility, but rather with the certainty that the individual stocks will, over time, produce a profit.

Simpson's performance and investment style fit neatly inside Buffett's way of thinking. "Lou takes the same conservative concentrated approach to investments that we do at Berkshire and it is an enormous plus for us to have him on board," said Buffett. "There are very few people who[m] I will let run money and businesses that we have control over, but we are delighted in the case of Lou."³⁷

Buffett, Munger, Ruane, Simpson. It is clear the superinvestors of Buffettville have a common intellectual approach to investing. They are united in their belief that the way to reduce risk is to buy stocks only when the margin of safety (that is, the favorable discrepancy between the intrinsic value of the company and today's market price) is high. They also believe that concentrating their portfolios around a limited number of these high-probability events not only reduces risk, but helps to generate returns far above the market rate of return.

Still, when we point out these successful focus investors, there are some people who remain skeptical. They wonder: Are all of these people successful because of their close professional relationships? As it turns out, these stock pickers owned different stocks. Buffett didn't own exactly what Munger owned, and Munger didn't own what Ruane owned; Ruane didn't own what Simpson owned; and nobody knows what Keynes owned.